

Carbon Pricing & CBAM

Marissa Santikarn

October 9, 2023

TAIEX TRATOLOW

High level workshop on a regional approach to carbon pricing

CBAM exposure doesn't lead to significant macro impact but hits emissions intensive sectors harder

- Given the EU is a major trading partner, the potential exposure of the Western Balkans to CBAM is significant
- However, the expected aggregate macroeconomic impact for WB6 countries is small as economies are expected to adjust by reallocating production to other products
- The gradual implementation of CBAM also gives firms and governments time to adapt (reduce emissions + implement transitional policies)

Table 10.3. Overview of selected modeling results of CBAM impacts in WB6.

	CBAM IMPACT on GDP	Estimated total annual CBAM revenues	Change in GHG emissions
Albania	Up to -1.3% [2]	<USD 10 M [2]	
Bosnia and Herzegovina	Up to -3.7% [2]	USD 100 M [2] EUR 220 M [3]	
Kosovo	-0.25% [4]		
Montenegro	Up to -1.8% [2]	EUR 10 M [3]	
North Macedonia	Up to -2.6% [2]	USD 60 M [2] EUR 125 M [3]	
Serbia	-0.2% [1] Up to -4% [2]	EUR 230 M [1] USD 150 M [2] EUR 180 M [3]	-2.8% [1]

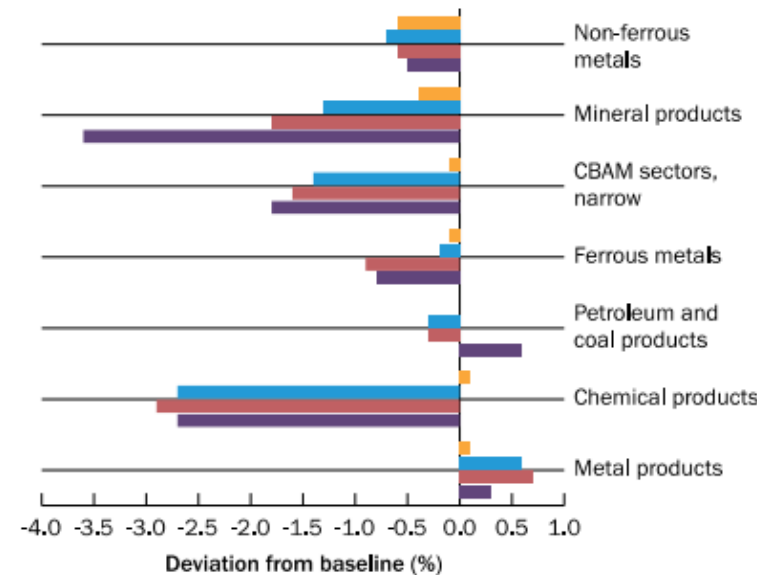
Sources: (1) WB 2022 Supporting Serbia's Transition to Greener and More Resilient Growth. GEM-E3-SRB CGE results for 2035, at EUR110/tCO₂. (2) AFD 2022 Impacts of CBAM on EU trade partners. RMRIO results. Does not account for emissions intensities and economic transformation. Carbon revenue estimation assumes price of USD60/tCO₂e, no forward projection. (3) Bankwatch 2022 The Western Balkan Power Sector: Between crisis and transition. No modelling, revenue calculation based on current trade flows and emissions intensity. No forward projection, price set at EUR50/tCO₂. (4) World Bank. 2021. Environmental Tax Reform in Kosovo: Policy Note. Unpublished. MFMOD results. EUR35/tCO₂e in 2035. Note: Note that studies on CBAM impacts have only limited comparability due to a number of factors that impact results, including model choice, time horizon of the analysis, assumptions on price level and CBAM coverage developments. Results are compared to BAU unless otherwise stated. M=million.

Türkiye CCDR: CBAM Impact

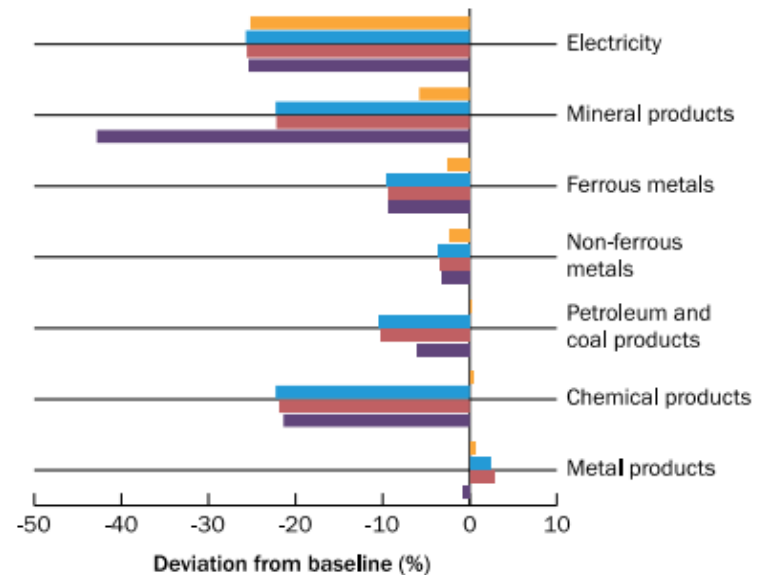
- The EU accounts for 49% of Türkiye's total exports but only 4% are covered by CBAM. Only a few emissions intensive industries will be affected, like iron and steel, aluminum and ferrous metals.
- Total exports are less affected with some going to non-EU countries and other products finding growth opportunities (manufacturing, metal products)
- Expected sector output and employment change is less than 0.5%
- CBAM presents opportunities for Türkiye to reduce emissions and capture market share from more emissions intensive competitors

Figure 4.4: Modeled real output and exports to the EU in 2030 for select sectors

a) Modeled real output



b) Exports to the EU

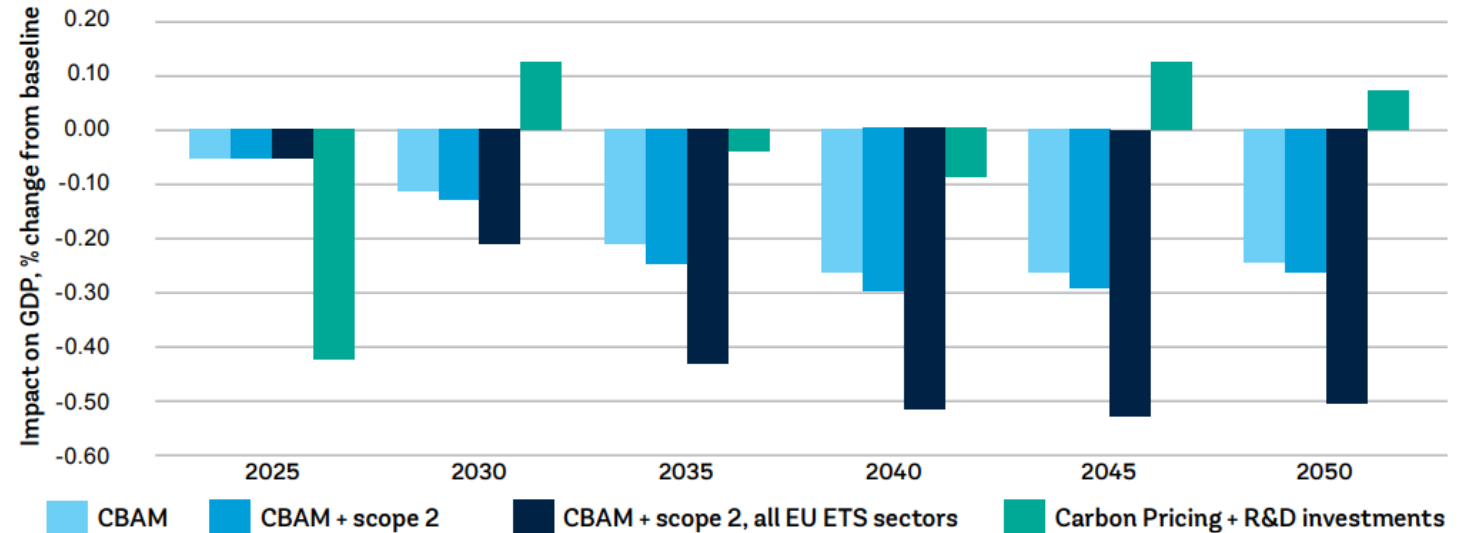


■ Current proposal ■ Expanded CBAM ■ US ■ All ETS, US

Serbia: CBAM and Carbon Pricing Impacts

- CBAM is likely to have a minimal negative impact on Serbia's economy, while carbon pricing (reinvested in innovation) has the potential to increase GDP above business as usual (BAU)

Figure 8. CBAM and carbon pricing scenarios for Serbia



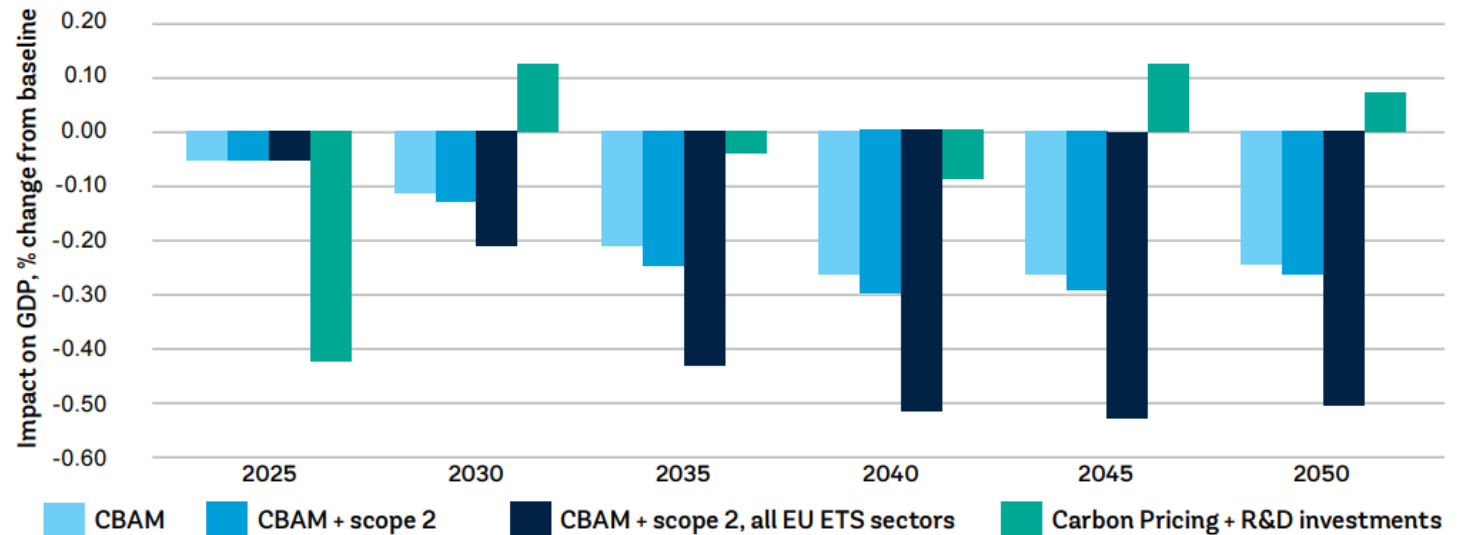
Source: Original calculation for this publication.

- In the unlikely event that neither the Serbian government nor the country's private sector makes domestic adjustments, CBAM would affect the net real exports, output, and employment in a few targeted, highly emissions-intensive sectors.

Serbia: CBAM and Carbon Pricing Impacts

- A broad-based, ambitious energy and carbon pricing reform initiative that involves the investment of the resulting revenues in innovation and education would deliver significant climate benefits, reducing emissions by 40% annually by 2035 (compared to BAU).

Figure 8. CBAM and carbon pricing scenarios for Serbia



Source: Original calculation for this publication.

- While the impacts of the imposition of a domestic carbon pricing system on emission-intensive sectors may be significant, these sectors account for only a small share of GDP and employment, with this impact offset by the positive impact on larger knowledge-intensive sectors.
- Going forward, with Serbia's emissions-intensive sectors (coal, ferrous metals) facing increasingly severe policy and market risks, separate strategies will be needed to facilitate the structural adjustment and transformation of the economy

Carbon Pricing Support

- **Partnership for Market Implementation:** Carbon pricing support program for developing countries, supporting Türkiye, Ukraine and Montenegro.
 - Türkiye: Preparing for pilot ETS implementation, adapting EU ETS design and assessing potential to expand carbon price to other sectors (carbon tax and/or domestic crediting)
 - Ukraine: Providing technical inputs for Ukraine's ETS core design elements, which will be reflected in an ETS Roadmap and development of the ETS Law
 - Montenegro: Assessing carbon price impact and strengthening the country's ETS, including potential role of crediting and carbon tax in other sectors
 - Just in Time Support: Bosnia and Herzegovina – CGE modeling on potential scope and cap options for a national ETS that works toward EU ETS alignment

